THE PRESIDENT'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

ARUSHA REGION TERMINAL EXAMINATIONS- AUG 2020

FORM THREE BOOKKEEPING

MARKING SCHEME

SECTION A: (20 MARKS)

1 Multiple Choice (15 marks @ 1mark)

i	ii	iii	iv	v	vi	vii	viii	ix	x	xi	xii	xiii	xiv	xv
C	D	B	B	A	C	B	NO FREE	C	D	B	D	B	C	D

2 Matching Items (5 marks @ 1 mark)

i	ii	iii	iv	v
A	F/NO	E	C	D

Note: 2 ii/ The answer is F - If correction was made if not NO answer.

SECTION B: (40 MARKS)

3 a) Capital expenditure is any payment for the purchases or acquisition of assets that can be used over and over again, that can be used for many years. It also cover payments that add value to already existing fixed asset while, (2½ marks)

Revenue expenditure is the spending on the normal day to day transactions of the business. It usually involve payments for goods and all expences that are mostly used up within one accounting year. (2½ marks)

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3 b) i/ Capital expenditure.
ii/ Capital expenditure
iii/ Revenue expenditure (5 marks @ 1 mark)
iv/ Revenue expenditure
v/ Capital expenditure

4 i/ Depreciation is the estimated loss in money value of a fixed asset owing to use, obsolescence or passage of time. It is the cost of wear and tear of the fixed assets.

ii/ Accrue expenses are those expenses that has been used or consumed by the business but not been paid by the business. It is unpaid expenses at the end of the accounting year.

iii/ Disposal of fixed assets is accounted for by removing cost of the fixed asset and any related accumulated depreciation from the statement of the financial position (balance sheet)

iv/ Prepaid income is the income received in advance by the business for the services that it does not provide. It is a liability to the business

v/ A provision is an account which records a present liability of an entity. It is the amount of an expenses that an entity elects to recognise now, before it has precise information about the exactly amount of the expenses. Example provision for bad debt.

(10 marks @ 2 marks)

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5a)

DR | BAD DEBT ACCOUNT | CR

31.12.2014.	Account Receivable	2480	31.12.2014.	P&L	2480
31.12.2015.	Account Receivable	5216	31.12.2015.	P&L	5216
31.12.2016.	Account Receivable	10,620	31.12.2015.	P&L	10,620

DR | ALLOWANCE FOR DOUBTFUL DEBTS ACCO | CR

31.12.2014.	Balance c/d	4200	31.12.2014.	P&L	4200
31.12.2015.	Balance c/d	6160	1.1.2015.	Balance b/d	4200
			31.12.2015.	P&L	1960
		6160			6160
31.12.2016.	P&L	1000	1.1.2016.	Balance b/d	6160
31.12.2016.	Balance c/d	5160			
		6160			6160
			1.1.2017.	Balance b/d	5160

WORKINGS (10 marks @ ½ mark)

YEAR	ACCOUNT RECEIVABLE	% ALLOWANCE FOR DOUBTFUL DEBTS	AMOUNT ALLOWANCE FOR DOUBTFUL DEBTS	ALLOWANCE FOR DOUBTFUL DEBT INCREASE/DECREASE
2014	84,000	5%	4200	-
2015	154,000	4%	6160	1960 Increase
2016	172,000	3%	5160	1000 Decrease

NOTE: Increases is an expenses
Decrease is an Income.

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6 a) Cost of goods sold

= opening stock + Purchases + Carriage inwards − closing stock

= 300,000 + 3,300,000 + 100,000 − 150,000 ✓(01 mark)

= 3,550,000

∴ value of cost of goods sold = 3,550,000/- ✓(01 mark)

b) Gross profit = Sales − cost of goods sold ✓(01 mark)

= 6,000,000 − 3,550,000

= 2,450,000

∴ Gross Profit = 2,450,000/- ✓(01 mark)

c) The net profit

= Gross profit + Rent received − total expenses ✓(01 mark)

= 2,450,000 + 200,000 − (Expenses + wages)

= 2,650,000 − (400,000 + 160,000)

= 2,650,000 − 560,000

= 2,090,000

∴ The net profit of the year = 2,090,000 ✓(01 mark)

d) Rate of Stock turnover

$= \frac{\text{Cost of goods sold}}{\text{Average stock.}}$ ✓ Average stock $= \frac{\text{op stock} + \text{cl stock}}{2}$

$= \frac{3,550,000}{\frac{300,000 + 150,000}{2}} = \frac{3,550,000}{2,000} = 15.777$

∴ Rate of Stock turnover = 15-8 times ✓(01 mark)

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6 e) Percentage of expenses over sales

(1 mark)

$$= \frac{\text{Total expenses}}{\text{Sales}} \times 100 = \frac{\text{Expenses + wages}}{\text{Sales}} \times 100$$

$$= \frac{400,000 + 160,000}{6,000,000} \times 100$$

$$= \frac{560,000}{6,000,000} \times 100 = 9.333$$

(1 mark)

∴ Percentage of expenses over sales = 9.3%

(Total 1 omarks)

SECTION C: (40 MARKS)

7.

DR TOTAL ACCOUNTS RECEIVABLE ACCOUNT CR

Balance b/d	43,450 ✓	Cash (600,570 − 344,890)	255,680 ✓
Sales	268,187 ✓	Discount allowed	5520 ✓
		Contra	70 ✓
		Bad debts	780 ✓
		Return inwards	4180 ✓
		Balance c/d	45,407 ✓
	311,637 ✓		311,637 ✓
Balance b/d	45,407 ✓		

DR TOTAL ACCOUNT PAYABLE ACCOUNT CR

Cash (503,970 − 14,440)	489,530 ✓	Balance b/d	26,555 ✓
Discount received	350 ✓	Purchases	496,600 ✓
Contra	70 ✓		
Balance c/d	33,205 ✓		
	523,155 ✓		523,155 ✓
		Balance b/d	33,205 ✓

(20 marks @ 1 mark)

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8a)

MR COVID

INCOME STATEMENT FOR THE YEAR ENDED 28th feb 2019

	Tzs	Tzs
Sales		157,165
Less cost of goods sold:		
opening inventory	4120	
Add: Purchases	92800	
	96920	
less: Closing inventory	2400	94,520
Gross profit		62,645
Add: Discount received		160
		62,805
Less EXPENSES		
Rent (3400 - 230)	3170	
Wages and salaries (31,400 + 340)	31,740	
Discount allowed	820	
Allowance for doubtful debts	91	
Bad debts	730	
Depreciation: office furniture	380	
: Delivery van	1250	
Delivery van (615 + 72)	687	38,868
NET PROFIT		23,937

(10marks @ ½ mark)

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85) MR COVID

STATEMENT OF FINANCIAL POSITION AS AT 28th feb 2019

	TZS	TZS	TZS
Non current Assets			
Delivery van	3750 ✓		
less: Depreciation	1250 ✓	2,500	
office furniture	2900 ✓		
less: Depreciation	380 ✓	2,520	5,020 ✓
Current Assets			
Stock	2400 ✓		
Account receivable (W_1)	11 820 ✓		
Rent prepaid	230 ✓		
Bank	4100 ✓		
Cash	324 ✓	18,874	
Current liabilities			
Account payable	5245 ✓		
Wages and salaries accrued	340 ✓		
van running cost owing	72 ✓	5657	13 217 ✓
NET ASSETS			18,237 ✓
financed by			
Capital	11,400 ✓		
Add: Net profit	23,937 ✓	35,337 ✓	
less: Drawings		(17,100) ✓	
			18,237 ✓

Workings (W_1)

Acc. Receivable	12316
less: Prov. for doub. debts (405+91)	496
	11 820

(10 marks @ ½ mark)

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9

DEPRECIATION TABLE

Date	Assets	Cost	2011	2012	2013	2014	2015	Disposal
1.1.2011	VAN 1	8000	1600	1600	1600	1200	—	6000
1.1.2011	VAN 2	5000	1000	1000	1000	1000	1000	5000
1.7.2013	VAN 3	9000	—	—	900	1800	1800	—
1.10.2013	VAN 4	7200	—	—	360	1440	1440	—
Income Statement			2600	2600	3860	5440	4240	—

Assumption

1. Depreciation was charged for each month of ownership However student may charge full year in the year of ownership and NO charge in the month of disposal because the question is Silence. But VAN 2 in its last year was charged full because was disposed of scrap value.

9 ii)

VAN ACCOUNT

Dr			Cr		
1.1.2011.	Cash	8000 ✓	31.12.2011.	Balance c/d	13,000 ✓
1.1.2011.	Cash	5000 ✓			
		13,000			13,000
1.1.2012.	Balance b/d	13,000 ✓	31.12.2012.	Balance c/d	13,000 ✓
1.1.2013.	Balance b/d	13,000 ✓	31.12.2013.	Balance c/d	29,200 ✓
1.7.2013.	Cash	9000 ✓			
1.10.2013.	Cash	7200 ✓			
		29,200			29,200
1.1.2014.	Balance b/d	29,200 ✓	30.9.2014.	Disposal	8000 ✓
			31.12.2014.	Balance c/d	21,200 ✓
		29,200			29,200
1.1.2015.	Balance b/d	21,200 ✓	30.6.2015.	Disposal	5000 ✓
			31.12.2015.	Balance c/d	16,200 ✓
		21,200			21,200
1.1.2016.	Balance b/d	16,200 ✓			

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9(ii)

DR PROVISION FOR DEPRECIATION ACCOUNT CR

31.12.2011. Balance c/d	2600 ✓	31.12.2011. P & L	2600 ✓
31.12.2012. Balance c/d	5,200 ✓	1.1.2012. Balance b/d	2600 ✓
		31.12.2012. P & L	2600 ✓
	5,200		5,200
31.12.2013. Balance c/d	9060 ✓	1.1.2013. Balance b/d	5,200 ✓
		31.12.2013. P & L	3860 ✓
	9060		9060
30.9.2014. Disposal	6000 ✓	1.1.2014. Balance b/d	9060 ✓
31.12.2014. Balance c/d	8,500 ✓	31.12.2014. P & L	5440 ✓
	14,500		14500
30.6.2015. Disposal	5000 ✓	1.1.2015. Balance b/d	8,500 ✓
31.12.2015. Balance c/d	7740 ✓	31.12.2015. P & L	4240 ✓
	12,740		12,740
		1.1.2016. Balance b/d	7,740 ✓

9 (iii)

DR VAN DISPOSAL ACCOUNT CR

VAN	8000 ✓	Prov. for depreciation	6000 ✓
VAN	5000 ✓	Cash	2290 ✓
Gain on disposal	340 ✓	Prov. for depreciation	5000 ✓
		Cash	50 ✓
	13,340		13340

(20 marks @ 1/4 mark),

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